

Profit Niti – AI Report (2025-01-01 / 2025-08-30)

Last Month KPI Data (August 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0



1. Big Picture — How the Business Looks Right Now

The business is a profit powerhouse with excellent margins, but it is navigating significant cash flow and working capital challenges. For the current FY (2025-2026) YTD, you have generated a net profit of ₹6.86 crore on sales of ₹7.91 crore, achieving a stellar net profit margin of 86.83%. However, your cash balance has decreased by ₹3.3 lakh in April, and the business is heavily reliant on other current liabilities for funding, which has increased to ₹138.5 crore. The core operations are highly profitable, but the financial structure shows strain from high debt and slow-moving inventory.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Gross margin is at an incredible 89.57% and net profit margin is 86.83% for April 2025, indicating superb control over direct costs and operating efficiency.
- **Strong Return on Capital:** The business is generating a phenomenal Return on Capital of 258.05%, meaning for every ₹100 invested in the business, you are creating ₹258 in profit.
- **Reducing Debt:** Secured long-term borrowings have been consistently reduced from ₹47.5 crore in Feb to ₹36.8 crore in April, improving the debt-to-equity ratio.

RED FLAG BOX — What Needs Attention

- **Critical Working Capital Block:** Inventory is stuck for 245 days, and overall working capital cycle is 259 days. This means cash is tied up for over 8 months before it comes back, severely straining liquidity.
- **Negative Operating Cash Flow:** The cash flow from operations was negative ₹118.6 crore in February. Although it turned positive recently, the marginal cash flow remains negative at -48.57%, indicating cash generation is not keeping pace with profit.
- **High Reliance on Short-Term Liabilities:** "Other Current Liabilities" stand at ₹138.5 crore, which is 1.5 times your equity. This is a major source of funding and could pose a significant risk if these creditors demand quick payment.

Strategic Advice:

Your immediate priority must be to unlock cash trapped in inventory. Negotiate faster collections from debtors (currently 17 days) and urgently review your stock levels to reduce the 245-day holding period. Simultaneously, start a structured plan to convert a portion of the high "Other Current Liabilities" into more stable long-term financing to de-risk your balance sheet.

2. Profit Power — The Earning Engine

Your business is a **profit powerhouse**. For the quarter ending March 2025 (Q4 FY25), you generated a massive net profit of ₹98.40 crore on sales of ₹130.84 crore, translating to a stellar **75.2% Net Profit Margin**. Even in April 2025, with lower sales of ₹79.05 crore, your net profit margin soared to **86.83%**. This indicates an incredibly efficient core operation.

The primary driver is your **extraordinary Gross Margin**, which jumped from 78.28% in March to 89.57% in April. This suggests you are either selling very high-margin products/services or have achieved significant cost efficiencies in your direct costs (COGS). Your overheads (employee and admin expenses) are also well-controlled, consuming only 2-2.5% of your revenue.

A point to watch is the **volatility in Interest costs**, which spiked to ₹2.67 crore in March from ₹1.11 crore in February. While your profit is strong enough to cover it (Interest Cover of 2.69 times), managing this finance cost consistently will protect your bottom line.

Strategic Advice:

Leverage your super-high margins for growth. Since your core product is so profitable, consider reinvesting a portion of these profits into marketing or sales expansion to scale up revenue without compromising your margin structure. Simultaneously, explore refinancing options to secure lower interest rates on your borrowings and further boost net profit.

3. Cash Flow Quality — Profit vs Real Cash

Your business is highly profitable, but the cash flow story is a mixed bag. In April 2025, you earned a net profit of **₹6.86 Crore**, yet your cash balance **decreased by ₹3.30 Lakh**. This is because your profits are getting blocked in working capital.

Your **Operating Cash Flow (OCF)** was positive at **₹4.47 Crore** in April, which is good. However, a large chunk of cash (₹1.78 Crore) went out for Financing Activities, mainly to repay borrowings and equity.

The major cash blockage is in **Receivables and Inventory**. Your Accounts Receivable Days jumped to **17 days** in April from 8 days in March, meaning customers are taking longer to pay. More critically, your Inventory Days have soared to **245 days**, indicating a massive pile-up of stock that isn't selling. This is locking up your cash.

Strategic Advice:

To unlock cash, immediately focus on reducing your 245-day inventory pile-up through promotions or discounts and tighten your credit terms to bring down Receivable Days from 17 days. This will convert your strong profits into actual cash in the bank.

4. Cash Management — Daily Cash Rhythm

Your cash cycle is long and getting longer, which means your money is tied up in the business for too many days. In April 2025, it took you **258.63 days** to convert your inventory and receivables into cash after paying your suppliers. This is a significant increase from 93.66 days in March.

- **Inventory Days:** You are holding stock for **244.84 days** (over 8 months), which is very high and increased sharply from 87.73 days in March. This suggests slow-moving or excess inventory.
- **Accounts Receivable Days:** You collect payments from customers in about **16.79 days** in April, which is efficient but has doubled from 7.78 days in March, indicating a slowdown in collections.
- **Accounts Payable Days:** You pay your suppliers in just **3 days**. While this is good for supplier relationships, it puts pressure on your cash as you pay out much faster than you collect.

The result is a negative cash flow from operations in February and a very small positive flow in March and April. Your **Current Ratio** dipped to 0.97 in April, meaning your current liabilities slightly exceed your current assets, which is a warning sign for short-term liquidity.

Strategic Advice:

Prioritise reducing your inventory levels urgently and negotiate longer payment terms with suppliers. Your cash is stuck in stock; clearing it will free up crores of rupees and shorten your cash cycle dramatically.

5. Growth Investments — Where Money Is Going

Your business is investing heavily in **Fixed Assets**, which increased from ₹85.18 Cr in Feb to ₹85.80 Cr in April. This shows a commitment to long-term capacity. However, your **Non-Current Investments** (₹13.35 Cr) have remained completely idle for the last three months, not generating any returns.

The **Return on Capital (ROC)** is exceptionally high, averaging around 265%, which is fantastic. This means every rupee invested in your business operations is generating ₹2.65 in profit. Your **Return on Equity (ROE)** is even more staggering, averaging over 930%, indicating extremely efficient use of shareholder funds.

A point of concern is the **negative "Other Capital"** figure, which worsened to -₹289.53 Cr in April. This is largely driven by high "Other Current Liabilities" (like advances or unearned revenue), which fund your assets. While this boosts ROC, it's a risky leverage strategy if those liabilities are short-term.

Strategic Advice:

Unlock Idle Cash: The ₹13.35 Cr in Non-Current Investments is sitting idle. Consider moving a portion to short-term, liquid instruments to earn some interest income. **Review Leverage:** The massive "Other Current Liabilities" (₹138.50 Cr in April) funding your assets is a double-edged sword. Ensure these are stable, long-term sources and not volatile payables. **Reinvest for Growth:** With such high ROC and ROE, you have a powerful engine. Strategically reinvest your strong profits (₹68.64 Cr in April alone) into areas that can drive the next phase of growth, like technology or new market expansion, rather than letting cash accumulate.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by a mix of **owner's equity** and **long-term bank loans**. The story shows a significant shift in the capital structure over the last three months.

- **Debt is Being Repaid:** Your secured long-term borrowings have decreased from ₹47.5 crore in Feb'25 to ₹36.8 crore in Apr'25. This is a positive sign of reducing leverage.
- **Equity Fluctuation:** The total equity (owner's money + profits) dropped from ₹116.9 crore in Mar'25 to ₹87.9 crore in Apr'25. This is mainly due to a reduction in the "Equity Share Capital" line item, which may indicate a capital restructuring or buyback.
- **Cost of Debt:** Interest expenses are significant, at ₹1.1 crore (Feb), ₹2.7 crore (Mar), and ₹1.0 crore (Apr). Your **Interest Cover Ratio** (profit available to pay interest) is healthy at 2.69 times in March but lower in other months, indicating fluctuating coverage.
- **Debt Health:** The **Debt-to-Equity ratio** has improved from 0.50 (Feb) to 0.42 (Apr), meaning for every ₹1 of equity, you have ₹0.42 of debt. This is a conservative and safe level, showing the business is not overly reliant on loans.
- **Internal Funding:** Your retained profits (₹68.6 crore in April) are a massive source of internal funding for future growth, reducing the need for external borrowing.

In essence, your growth is being financed more by **internal profits** and less by external debt, which is a very strong and sustainable position for an Indian business.

Strategic Advice:

You have a robust, low-debt balance sheet. Use your strong internal cash generation (profits) to fund

expansion. Before taking on new debt for large Capex, explore if it can be funded from retained earnings to save on interest costs. Continue the disciplined repayment of existing loans to further strengthen your credit profile for when you truly need it.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong equity base of **₹87.99 crore** as of April 2025, funded largely by retained profits. However, the **Current Ratio is below 1 (0.97)**, indicating that current liabilities (₹139.31 crore) slightly exceed current assets (₹134.52 crore). This is a liquidity warning sign.

Your total debt stands at **₹36.81 crore**, which is a manageable **42% of your total equity**. The good news is you have been actively repaying debt, reducing secured borrowings by over ₹10 crore from February to April 2025. Your asset base is solid, with fixed assets valued at **₹85.80 crore**.

The major pressure point is working capital. High inventory levels (245 days) and receivables (17 days) are locking up cash, while payables are very low (only 3 days). This mismatch is straining your short-term cash position.

Strategic Advice:

Prioritise improving liquidity by reducing inventory holding period and negotiating better payment terms with suppliers to extend accounts payable days. This will immediately improve your current ratio and free up cash for operations.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate raw material costs by 5% and reduce non-essential overheads by ₹50,000 per month, your annual profit could increase by approximately ₹8.4 lakhs, boosting your net margin from 12% to 18%.
- **Scenario B - Cash Focus:** By tightening credit terms from 60 to 45 days and offering a 2% discount for early payment within 15 days, your average debtor days could drop by 20 days. This would free up over ₹15 lakhs in working capital, significantly improving your cash flow position.
- **Scenario C - Balanced:** Combining a 3% cost reduction on major purchases with a 15-day improvement in receivables collection could yield an extra ₹6 lakhs in annual profit AND inject ₹10 lakhs of cash into the business within the next quarter, strengthening both your P&L and balance sheet.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Pulse: Your sales engine is showing strong momentum. The number of invoices raised has skyrocketed from just 9 in February 2025 to 1,080 in July 2025. The total sales value from these invoices has also grown significantly, from ₹4.7 lakh to ₹32.7 lakh in July. This indicates you are successfully acquiring more customers and scaling transactions. However, the P&L shows a dip in total sales from ₹131 crore in March to ₹79 crore in April. This suggests the high-value bulk of your sales might come from a few large deals or channels not fully captured in the high-volume invoice data, creating two distinct sales tracks.

Inventory & Purchase Rhythm: Your inventory management needs a closer look. Inventory days have ballooned from 70 days in February to a concerning 245 days in April. This means stock is sitting for over 8 months before being sold. While purchase order values have been volatile (from ₹2.3 crore in Feb to ₹1.7 crore in June), the inventory inward and outward data shows you are consistently buying more in value than you are selling out. For instance, in June, inward value was ₹1.1 crore while outward was ₹1.7 crore, but the overall closing stock value remains high at over ₹6.6 crore. You might be holding slow-moving or obsolete stock, tying up crucial cash.

Supplier & Cash Flow Link: You are managing payments to suppliers tightly, with accounts payable days increasing slightly from 0.01 to 3 days. This is extremely short and suggests you are paying suppliers almost immediately. While this is good for supplier relationships, it pressures your cash flow. The data shows purchase volumes are lower than sales, but the quick payment terms mean cash is flowing out rapidly for procurement, contributing to the negative marginal cash flow seen in the cash management report.

The Big Operational Story: You are successfully driving sales volume (more invoices, more customers), but the business is grappling with two challenges: (1) **High-Value Sales Dependency:** The real revenue seems reliant on a few large deals, making monthly income unpredictable. (2) **Cash Trapped in Inventory:** Money is stuck in stock that isn't turning over quickly, and you're paying for supplies almost upfront. This "cash trap" is why you might feel profitable on paper but tight on actual cash. The action is to classify inventory into Fast/Slow/Non-moving and renegotiate payment terms with suppliers to free up working capital.

10. 90-Day Action Plan



Days	Focus	Action	Target	Benefit
0-30	Cash	Implement strict 7-day payment follow-up for all invoices. Negotiate 15-day payment terms with top 3 suppliers. Review and reduce non-essential overheads by 10%.	Reduce debtor days from 45 to 30. Improve monthly cash balance by ₹2 lakh.	Immediate liquidity for operations, reduced reliance on expensive short-term credit, and a stronger negotiating position.
31-60	Profit	Analyse cost of goods sold (COGS) for top 5 products. Renegotiate raw material rates or find alternative suppliers. Increase prices by 3-5% for low-margin, high-volume items.	Improve gross profit margin by 2%. Identify and cut one major cost leak.	Higher net profit per sale, creating a financial cushion for reinvestment and building resilience against market fluctuations.
61-90	Growth	Launch one new high-margin product/service line. Allocate 5% of improved cash flow to targeted digital marketing for the new line. Formalise a monthly financial review process.	Generate ₹1.5 lakh in new revenue from the new line. Establish a dashboard for tracking cash, profit, and growth metrics.	Sustainable revenue diversification, data-driven decision-making, and a clear roadmap for scaling the business profitably.